MONDELEZ INTERNATIONAL INC MDLZ S

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by Inflexio

			2026	2027
Price:	58.38	EPS	3.05	3.36
Shares Out. (in M):	1,276	P/E	19	17.4
Market Cap (in $M):	74,536	P/FCF	21	17.6
Net Debt (in $M):	19,734	EBIT	5,329	5,528
TEV (in $M):	94,270	TEV/EBIT	17.7	17
Borrow Cost:	General Collateral			

Description

Business Overview

Mondelez is a global snacking CPG focused on chocolate, biscuits & baked snacks, with smaller adjacent businesses in gum & candy, cheese & grocery and powdered beverages. Brands include Oreo, Ritz, LU, belVita, Chips Ahoy, Clif Bar, Tate's, 7Days on the biscuit side and Cadbury Dairy Milk, Milka, Toblerone, Lacta, Côte d'Or on chocolate.

Revenue by Categories (FY25)

Biscuits & Baked Snacks – 48%
Chocolate – 33%
Gum & Candy – 11%
Cheese & Grocery – 6%
Beverages – 3%

Revenue by Geographies (FY25)

Europe - 39% => 52% of this segment is chocolate and has been struggling

North America - 28% => 87% of this segment is the biscuit & backed snacks

AMEA - 21%

LATAM - 13%

Thesis Points

El Nino historically has had a devastating impact on cocoa yield

The prior El Nino of 2022-2023 created triggered a historic run in cocoa prices

Super El Nino chances are now approaching 90%+ and 70% chance of exceeding every el nino on record dating back 1950

Mondelez has already locked in prices for 2026 but by the end of 2026, it will have to lock in prices for 2027. Cocoa prices have already rebounded from the lows of $2500 to now $6500 and most sell-side estimates have the company rebounding earnings materially in 2027 driven by normalization of cocoa prices and hedges rolling off.

El nino should also bring a warmer winter both in North America and Europe, further dampening already weak sales due to a hot summer

GLP-1s

Obviously not a new thesis here and well covered by other consumer staple names. But the reality remains true: GLP-1 significantly reduce consumption of sweet snacks. With broader insurance coverage adoption slowly phasing in to the United States and other countries, the impact will continue to be felt.

Readthroughs from other names on sweet snacks

Lindt reported on September 26 an updated sales growth guidance, lowering growth from 4-6% to 0-2% due to "High price sensitivity among consumers has resulted in lower-than-expected orders in certain European markets, particularly in seasonal businesses. Additionally, an unprecedented heatwave weighed on sales in Europe"

While Lindt focuses on the high-end of the market, the same trends will likely continue to hurt Mondelez. Specifically, Lindt has signaled they would be adjusting their pricing strategy, lowering prices for the holiday season, and across the board in January

Other commentaries:

Aliment Couche-tard: "That shift in selective spending behavior is also reshaping the category mix. Packaged carbonated soft drinks as well as traditional center store categories such as salty snacks and packaged sweets remain softer than historical levels"

Costco: ""shift in member shopping habits towards healthier packaged foods and protein items"

Hershey, J.M Smucker, and many other snacking companies have also called it out

Group de-rating incoming; MDLZ the least likely to be acquired

While MDLZ doesn't look particularly expensive relative to its peers (Lindt trades at 24x EPS and HSY at 18.5x versus MDLZ at 19x), the group trades at a significant premium to the broader consumer staples industry that has materially de-rated. In my opinion, the group valuation is likely to converge lower as structurally lower growth rates are likely due to GLP-1 adoption, a squeezed consumer, and broader consumer preference changes.

One of the points I have also heard from others, which I tend to agree with is that Mondelez is less likely to be acquired, which helps allievate the tail-risk most shorts experience. The company is roughly 2.5x the size of Hershey, and Lindt is more likely to be acquired (IMO) due to it's "high-end" focus

Costs are creeping back up

Market expects a material improvement in earnings for next fiscal year driven by improving cost input (primarily cocoa) while pricing remains relatively stable. However, with Lindt now looking to cut prices, I wouldn't be surprised if Mondelez follow suit. In addition, MDLZ's main input costs have all crept up from the earlier lows:

Cocoa made a low in march around $3000/T and since has rebounded to $5330

Sugar bottomed in March at $13.50/lb and has now gone up to $18.60

Malaysian palm oil bottomed in March at 4000MYR/T and now is up to 4600

Transportation surchages are also on the rise, driven by a material increase in diesel prices

All of this is happening when there is a chance the company has to cut prices?

Other Headwinds

3x levered while facing rising interest rates (though most of it has been refinanced and is fixed)

European economies are slowing materially driven by the Iranian war => Q2 2026 organic growth of -3.5% in Europe, with volume/mix -2.1% and pricing -1.4%. What happens when MDLZ follow Lindt and starts cutting prices while all costs are creeping back up?

Target Price

While the company should command a premium to the broader consumer staple category due to lower private label risks, some of the best brands in the category (Oreo, chips, cadbury etc), and a growth story in emerging markets, what premium should be paid for a company that is growing sub-inflation, with cost pressure that do not seem to abate?

at 15x earnings, assuming earnings flat-line around $3.00, my TP is $45 over the next 12-18 months

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Catalyst

Q3 2026 guidance cut or negative commentary + pricing cut driven by Lindt/other competitors in Europe

Messages

No messages